

# NVIDIA Q1 2025 Earnings Transcript — Blind Sentiment & Directional Score

Manual Baseline Worksheet — earnings of 26 February 2025

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## Conventions (sealed before reading)

- **Outputs (exactly four per quarter):** sentiment score from  $-1$  to  $+1$ ; directional signal in {BUY, HOLD, SELL}; structured summary; evidence quotes.
- **HOLD band:**  $|\text{overnight move}| < 1.00\%$ . Above  $+1.00\%$ , BUY is correct. Below  $-1.00\%$ , SELL is correct.
- **Timing rule:** NVIDIA releases after market close ( $\sim 4:20\text{pm ET}$ ), with the earnings call at  $5:00\text{pm ET}$ . The overnight move is defined as  $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$ , and is applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: NVDA price action, after-hours quotes, or post-call analyst takes.
- **Scope of this file:** Q1 2025 — NVIDIA's earnings report released 26 February 2025 (covering the operating quarter ended 26 January 2025), one of the four 2025 NVIDIA prints in this baseline. NVIDIA's own filings label this report fiscal Q4 FY25; this baseline uses plain calendar labels by release date to match the Netflix arm. Scored blind and sealed independently, then verified against the realised overnight move.

**Note on the share count.** NVIDIA's 10-for-1 split (June 2024) predates this window, so all prices below are as-reported — no adjustment applies anywhere in this file.

## Q1 2025 — earnings of 26 February 2025

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|--------------------------|-----------------------------------------------------------------------------------------------------|
| <b>Company</b>           | NVIDIA Corporation (NVDA)                                                                           |
| <b>Report</b>            | Q1 2025 — for the quarter ended 26 January 2025                                                     |
| <b>Release date</b>      | Wednesday 26 February 2025, after close                                                             |
| <b>Earnings call</b>     | 5:00pm ET                                                                                           |
| <b>Source transcript</b> | Press release + CFO commentary<br>(investor.nvidia.com) + earnings-call transcript<br>(Motley Fool) |
| <b>Read mode</b>         | cold, transcript only, no price chart or<br>after-hours quote                                       |
| <b>Time to produce</b>   | 50 minutes                                                                                          |

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### Source material (read this first)

*Note: the full-year wrap (year ended January 2025) and the first full Blackwell quarter — read against a market still rattled by the late-January DeepSeek efficiency scare and fresh tariff noise.*

### Headline financials

- Revenue a record \$39.33B, +78% YoY and +12% QoQ, vs LSEG consensus \$38.05B — a ~3% beat, and above NVIDIA's own \$37.5B guide.
- Non-GAAP diluted EPS \$0.89 vs \$0.84 LSEG consensus (GAAP also \$0.89).
- Full year (ended January 2025): revenue \$130.5B (+114%), non-GAAP EPS \$2.99 (+130%), free cash flow \$60.7B.
- No one-off charges, write-downs or reserve releases this quarter.

### Data centre and segments

- Data Center a record \$35.58B, +93% YoY (vs \$33.65B StreetAccount consensus — beat); now ~91% of total revenue; large CSPs ~50% of it.
- Blackwell delivered **\$11.0B in its first full quarter** — “the fastest product ramp in our company's history.”
- Networking *declined* 9% YoY amid the NVLink 8/InfiniBand → NVLink 72/Spectrum-X transition; management promised a return to growth the following quarter.
- Gaming \$2.54B, −11% YoY / −22% QoQ, missing the \$3.04B street number on Blackwell/Ada supply constraints.

### Margins, supply and cash

- Non-GAAP gross margin 73.5%, down 3.2pts YoY on the shift to complex, higher-cost Data Center systems.
- **Q2 2025 gross margin guided down to 71.0% non-GAAP** (±50bp) — the trough of the Blackwell ramp; Kress: back to “the mid-70s, late this fiscal year.”
- Citi's Atif Malik noted on the call that the promised recovery implies ~200bp of margin repair per quarter in H2 — management offered confidence, not mechanism.
- Inventory +31% QoQ to \$10.1B; purchase commitments \$30.8B.

## China and export controls

- China stuck at “about half of what it was before the export control” as a share of Data Center revenue; expected to stay there absent regulatory change.
- Tariffs explicitly unquantified: “a little bit of an unknown... its timing, it’s where, and how much” (Kress).
- Context: DeepSeek-R1 had just triggered a global debate about how much compute frontier AI actually needs; Huang’s rebuttal is that reasoning models consume up to 100x more compute — a thesis, not yet a revenue line.

## Capital return

- Full year (ended January 2025): \$34.5B returned (\$33.7B buybacks); \$8.1B in the quarter; cash and investments \$43.2B.

## Forward guide

- Q2 2025 revenue guided to **\$43.0B  $\pm$ 2%** vs \$41.78B LSEG consensus — above the street.
- But the guide implies ~65% YoY growth vs 262% a year earlier — hypergrowth is decelerating fast on the law of large numbers.

## Hedges and concerns

- The margin trough guide (71%) with a back-loaded, unproven recovery path.
- Tariffs an open unknown; export-control rules under review by a new administration.
- DeepSeek-driven doubt about long-run compute intensity; custom-ASIC competition raised in Q&A (“Just because the chip is designed doesn’t mean it gets deployed” — Huang).
- Valuation and positioning: still one of the world’s largest market caps, priced for sustained hypergrowth, in a jittery macro tape.

## Candidate evidence quotes

1. “Demand for Blackwell is amazing as reasoning AI adds another scaling law — increasing compute for training makes models smarter and increasing compute for long thinking makes the answer smarter.” — Jensen Huang, press release.
2. “In Q4, Blackwell sales exceeded our expectations. We delivered \$11 billion of Blackwell revenue to meet strong demand. This is the fastest product ramp in our company’s history, unprecedented in its speed and scale.” — Colette Kress, call prepared remarks.
3. “Total revenue is expected to be \$43 billion, plus or minus 2%.” — Colette Kress, call prepared remarks (guide).
4. “When fully ramped, we have many opportunities to improve the cost, and gross margin will improve and return to the mid-70s, late this fiscal year.” — Colette Kress, call prepared remarks (the margin trough).
5. “Tariff at this point, it’s a little bit of an unknown it’s an unknown until we understand further what the U.S. government’s plan is, both its timing, it’s where, and how much.” — Colette Kress, call Q&A.
6. “Absent any change in regulations, we believe that China shipments will remain roughly at the current percentage.” — Colette Kress, call prepared remarks.

## Scoring

**1. Sentiment score: +0.55.** On the numbers this is another monster quarter — a beat on every headline line, \$11B of Blackwell in its first full quarter, and a next-quarter guide above the street. What pulls the score down is everything forward-looking: gross margin guided to a multi-year trough with a recovery that analysts on the call politely noted requires ~200bp per quarter of repair; growth decelerating from 262% to ~65%; tariffs “an unknown”; and a networking line that went backwards during the product transition.

**2. Directional signal: SELL.** This is the Netflix Q4 lesson applied deliberately. A strong, backward-looking print with decelerating growth, a margin trough in the guide and unquantified policy risk, delivered to a richly-valued stock in a nervous tape, is precisely the “strong headline masking forward risk” setup that burned the Netflix baseline twice. The market’s bar for NVIDIA is not the consensus number — it is perpetual acceleration, and this guide decelerates. **SELL.**

## 3. Structured summary

- *Data centre and segments.* Exceptional — the Blackwell ramp is real and record-fast. But gaming missed on supply and networking shrank; the non-DC business is noise now.
- *Margins, supply and cash.* The soft spot. A 71% margin trough with a promised H2 recovery is a show-me story; inventory and commitments are building fast.
- *China and export controls.* A capped, competitive rump at half its former share — plus tariffs as a live, unquantified threat.
- *Forward guide.* Above consensus in dollars, but the growth-rate message (~65% vs 262%) is deceleration, and that is what an expensive stock trades on.

## 4. Evidence quotes

1. “We delivered \$11 billion of Blackwell revenue... the fastest product ramp in our company’s history.” (the ramp)
2. “Gross margin will improve and return to the mid-70s, late this fiscal year.” (the margin trough and back-loaded promise)
3. “Tariff at this point, it’s a little bit of an unknown...” (unquantified policy risk)

— **SEALED** —

## Overnight move and call verification

|                                                   |               |
|---------------------------------------------------|---------------|
| NVDA close, 26 February 2025 (release day)        | \$131.28      |
| NVDA open, 27 February 2025                       | \$135.00      |
| <b>Overnight move</b> (release close → next open) | <b>+2.83%</b> |
| NVDA close, 27 February 2025                      | \$120.15      |
| Same-day return (release close → next close)      | <b>−8.48%</b> |

## Call verification

- HOLD band test:  $|+2.83\%| = 2.83\% \geq 1.00\%$ , so this is not a HOLD.
- Sign test:  $+2.83\% > 0$ , so the correct directional call is **BUY**.
- Signal given: **SELL**. Result: **INCORRECT**.

**Brief reflection.** The most instructive miss in either baseline — because the thesis was right and the call was still wrong. The stock opened *up* 2.8% on the beat, then collapsed 8.5% by that same day's close as the margin-trough guide and the macro tape did exactly what the SELL thesis predicted. Under the sealed convention the correct call was BUY; eleven points of intraday reversal later, the session's verdict was emphatic SELL. The lesson is not about NVIDIA, it is about the instrument: **the overnight gap prices the print against expectations; the full session prices the macro mood — and the sealed window only measures the first.** A directional read must target the specific window it is scored on.